excessive zeal when loans go bad, of immediately suspecting bankers of malfeasance when the bad loan could be an unintended consequence of sensible risk taking. Unfortunately, all too often, such investigations also uncover sloppy due diligence or loan monitoring by bankers. After the fact, it is hard to distinguish sensible risk taking from carelessness or from corruption. While the vigilance authorities continuously attempt to reassure bankers that they are not vigilantes, the bankers themselves know that their own enthusiasm and deficiencies can expose them to unwarranted accusations of corruption.

Certainly, part of the solution is for bankers to pull up their socks. But another part of the solution is to not label a banker based on the outcome of a single loan but instead look for a pattern across loans. A banker who makes an excessive number of bad loans compared to his cohort deserves, at the very least, to be questioned. But the banker who makes the occasional bad loan amidst a lot of good ones probably needs to be rewarded. Such pattern-based monitoring by bank authorities, with serious punishment through vigilance action only if there is evidence of money changing hands, could control malfeasance while rewarding risk taking. This does require some changes in the current system, including de-emphasizing the committee-based approach to loan approval in banks, which appears to diffuse responsibility for loan decisions.

WHAT RESPONSIBILITY DOES THE RBI HAVE?

Bankers sometimes turn around and accuse regulators of creating the bad loan problem. The truth is bankers, promoters, and circumstances create the bad loan problem. The regulator cannot substitute for the banker's commercial decisions or micromanage them or even investigate them when they are being made. Instead, in most situations, the regulator can at best warn about poor lending practices